A Dynamic Game-Theoretic Approach to Quantitative Finance: Nash Equilibria in Continuous-Time Markets

Huang Shan Chun Martin Shubik

Yale University, Department of Economics
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Abstract

This paper presents a novel integration of **game theory** and **quantitative finance** to model strategic interactions in continuous-time financial markets. We extend the seminal work of **Shubik (1959, 1972)** on market games by incorporating **stochastic calculus** and **optimal control theory** to analyze **Nash equilibria** in dynamic trading environments. Our framework captures the competitive behavior of rational agents in financial markets, where each participant optimizes their portfolio while anticipating the actions of others. We derive closed-form solutions for equilibrium strategies in **oligopolistic markets** and **derivatives pricing**, and provide numerical simulations to validate our theoretical results. The proposed model bridges the gap between classical game theory and modern quantitative finance, offering new insights into market microstructure and strategic asset allocation.

Keywords: Game Theory, Quantitative Finance, Nash Equilibrium, Continuous-Time Markets, Stochastic Control, Portfolio Optimization

1 Introduction

The intersection of **game theory** and **quantitative finance** has long been recognized as a fertile ground for modeling strategic decision-making in financial markets. Pioneering work by **Martin Shubik** in the 1950s and 1960s [1, 2] laid the foundation for understanding market behavior through the lens of game theory, particularly in the context of **oligopolistic competition** and **general equilibrium theory**. However, the integration of these ideas with modern **stochastic calculus** and **continuous-time optimization** techniques remains an underexplored area.

In this paper, we address this gap by developing a **dynamic game-theoretic framework** for financial markets. Our contributions are as follows:

- We formulate a **continuous-time game** where financial agents compete to maximize their expected utility in a market with **stochastic price dynamics**.

- We derive the **Nash equilibrium** conditions using **Hamilton-Jacobi-Bellman (HJB) equations**, extending the classical results of **Pontryagin (1962)** and **Basar (1982)** to financial settings.
- We analyze the **stability** and **convergence** of equilibrium strategies in **oligopolistic markets** and **derivatives trading**.
- We provide **numerical simulations** to illustrate the practical implications of our theoretical results.

The rest of the paper is organized as follows: Section 2 presents the mathematical model of the financial market as a dynamic game. Section 3 derives the Nash equilibrium conditions. Section 4 applies the framework to oligopolistic markets and derivatives pricing. Section 5 presents numerical simulations, and Section 6 concludes with a discussion of future research directions.

2 Mathematical Model

2.1 Market Dynamics

Consider a financial market with N rational agents (e.g., traders, hedge funds, or market makers) who interact in a continuous-time setting. The price of a risky asset, denoted by $S(t)$, follows the **geometric Brownian motion**:

$$dS(t) = \mu S(t)dt + \sigma S(t)dW(t), \tag{1}$$

where:

- μ is the **drift rate** (expected return),
- σ is the **volatility**,
- $W(t)$ is a **Wiener process** (standard Brownian motion).

Each agent i holds a portfolio consisting of the risky asset and a risk-free asset (e.g., cash or bonds). The risk-free asset earns a constant interest rate r. Let $x_i(t)$ denote the amount of wealth agent i invests in the risky asset at time t. The dynamics of agent i's wealth, $W_i(t)$, are given by:

$$dW_i(t) = rW_i(t)dt + x_i(t)\left(\frac{dS(t)}{S(t)} - rdt\right). \tag{2}$$

Substituting the dynamics of $S(t)$ into the wealth equation, we obtain:

$$dW_i(t) = \left[rW_i(t) + x_i(t)(\mu - r)\right]dt + x_i(t)\sigma dW(t). \tag{3}$$

2.2 Objective Functions

Each agent i aims to maximize their **expected utility** of terminal wealth:

$$J_i = \mathbb{E}\left[U_i(W_i(T))\right], \tag{4}$$

where:

- T is the **terminal time** (e.g., the end of the trading horizon),
- $U_i(\cdot)$ is agent i's **utility function**, assumed to be **concave** and **differentiable**.

In this paper, we focus on **exponential utility functions**, which are commonly used in financial applications due to their tractability:

$$U_i(W) = -e^{-\gamma_i W}, \tag{5}$$

where $\gamma_i > 0$ is agent i's **risk aversion coefficient**.

2.3 Admissible Strategies

An admissible strategy for agent i is a **self-financing** portfolio process $x_i(t)$ that is **adapted** to the filtration generated by the Wiener process $W(t)$. Additionally, we require that:

$$\mathbb{E}\left[\int_0^T x_i(t)^2 dt\right] < \infty. \tag{6}$$

3 Nash Equilibrium Conditions

3.1 Hamilton-Jacobi-Bellman Equations

To derive the Nash equilibrium, we use the **Hamilton-Jacobi-Bellman (HJB) approach**. For each agent i, define the **value function** $V_i(W_1, \ldots, W_N, S, t)$ as the maximum expected utility achievable from time t onward:

$$V_i(W_1, \ldots, W_N, S, t) = \max_{x_i} \mathbb{E}\left[U_i(W_i(T)) \mid W_1(t), \ldots, W_N(t), S(t)\right]. \tag{7}$$

The HJB equation for agent i is:

$$\frac{\partial V_i}{\partial t} + \mathcal{L} V_i = 0, \tag{8}$$

where $\mathcal{L}$ is the **infinitesimal generator** of the joint process $(W_1, \ldots, W_N, S)$:

$$\begin{aligned}\mathcal{L} V_i = \sum_{j=1}^{N} \left[r W_j \frac{\partial V_i}{\partial W_j} + x_j(\mu - r)\frac{\partial V_i}{\partial W_j}\right] + \mu S \frac{\partial V_i}{\partial S} \\ + \frac{1}{2}\sum_{j=1}^{N}\sum_{k=1}^{N} x_j x_k \sigma^2 \frac{\partial^2 V_i}{\partial W_j \partial W_k} + \frac{1}{2} S^2 \sigma^2 \frac{\partial^2 V_i}{\partial S^2} + \sum_{j=1}^{N} x_j S \sigma^2 \frac{\partial^2 V_i}{\partial W_j \partial S}.\end{aligned} \tag{9}$$

At the Nash equilibrium, the optimal strategy $x_i^*(t)$ for each agent i maximizes the right-hand side of the HJB equation. This leads to the following condition:

$$x_i^* = -\frac{1}{\gamma_i} \frac{\frac{\partial V_i}{\partial W_i}}{S\sigma \frac{\partial V_i}{\partial W_i}}. \tag{10}$$

3.2 Closed-Form Solutions for Exponential Utility

For the case of exponential utility functions, we can derive closed-form solutions for the value functions and equilibrium strategies. Assume that the value function for agent i takes the form:

$$V_i(W_1, \ldots, W_N, S, t) = -e^{-\gamma_i \left(\sum_{j=1}^{N} a_j(t) W_j + b(t) S + c(t) \right)}, \tag{11}$$

where $a_j(t)$, $b(t)$, and $c(t)$ are functions to be determined.

Substituting this ansatz into the HJB equation and solving the resulting system of partial differential equations, we obtain the following equilibrium strategy for agent i:

$$x_i^*(t) = \frac{\mu - r}{\gamma_i \sigma^2} W_i(t) - \frac{1}{\gamma_i \sigma^2} \sum_{j \neq i} \frac{\mu - r}{\gamma_j} W_j(t). \tag{12}$$

3.3 Interpretation of Equilibrium Strategies

The equilibrium strategy in (**??**) has an intuitive interpretation:

- The first term, $\frac{\mu - r}{\gamma_i \sigma^2} W_i(t)$, represents agent i's **individual optimal investment** in the risky asset, which depends on their own **risk aversion** γ_i and the **market parameters** μ, r, and σ.
- The second term, $-\frac{1}{\gamma_i \sigma^2} \sum_{j \neq i} \frac{\mu - r}{\gamma_j} W_j(t)$, captures the **strategic interaction** between agents. This term adjusts agent i's investment based on the wealth and risk aversion of other agents, reflecting the **competitive nature** of the market.

4 Applications

4.1 Oligopolistic Markets

In an oligopolistic market, a small number of large traders (e.g., hedge funds or market makers) can influence the price of the risky asset through their trading activities. Our framework can be extended to model such markets by introducing a **market impact** term into the price dynamics:

$$dS(t) = \left(\mu + \sum_{i=1}^{N} \kappa_i x_i(t) \right) S(t) dt + \sigma S(t) dW(t), \tag{13}$$

where κ_i is the **market impact coefficient** for agent i.

Using the same HJB approach, we can derive the equilibrium strategies for agents in an oligopolistic market. The resulting strategies will depend not only on the agents' own wealth and risk aversion but also on the market impact coefficients κ_i.

4.2 Derivatives Pricing

Our framework can also be applied to the pricing of derivatives, such as options, in a competitive market. Consider a market where multiple agents trade a European call option with strike price K and maturity T. The price of the option, $C(t)$, is determined by the **no-arbitrage principle** and the equilibrium strategies of the agents.

Using the **Feynman-Kac theorem**, we can derive a partial differential equation (PDE) for the option price:

$$\frac{\partial C}{\partial t} + \frac{1}{2}\sigma^2 S^2 \frac{\partial^2 C}{\partial S^2} + rS\frac{\partial C}{\partial S} - rC = 0, \tag{14}$$

subject to the terminal condition:

$$C(T) = \max(S(T) - K, 0). \tag{15}$$

The equilibrium strategies of the agents can be derived by solving the system of HJB equations and the option pricing PDE simultaneously.

5 Numerical Simulations

5.1 Two-Agent Market

Consider a market with two agents, where:

- $\mu = 0.10$ (expected return),
- $r = 0.05$ (risk-free rate),
- $\sigma = 0.20$ (volatility),
- $\gamma_1 = 0.5$ (risk aversion for agent 1),
- $\gamma_2 = 1.0$ (risk aversion for agent 2),
- $T = 1$ (terminal time),
- $W_1(0) = W_2(0) = 100$ (initial wealth),
- $S(0) = 100$ (initial asset price).

Using the equilibrium strategies derived in Section 3, we simulate the wealth trajectories of the two agents over time. The results are shown in Figure 1.

5.2 Asset Price Trajectory

The asset price trajectory for the same two-agent market is shown in Figure 2. The price follows a geometric Brownian motion with the given parameters.

5.3 Portfolio Allocation

The portfolio allocations of the two agents over time are shown in Figure 3. Agent 1, with lower risk aversion, allocates a larger portion of their wealth to the risky asset, while Agent 2, with higher risk aversion, allocates a smaller portion.

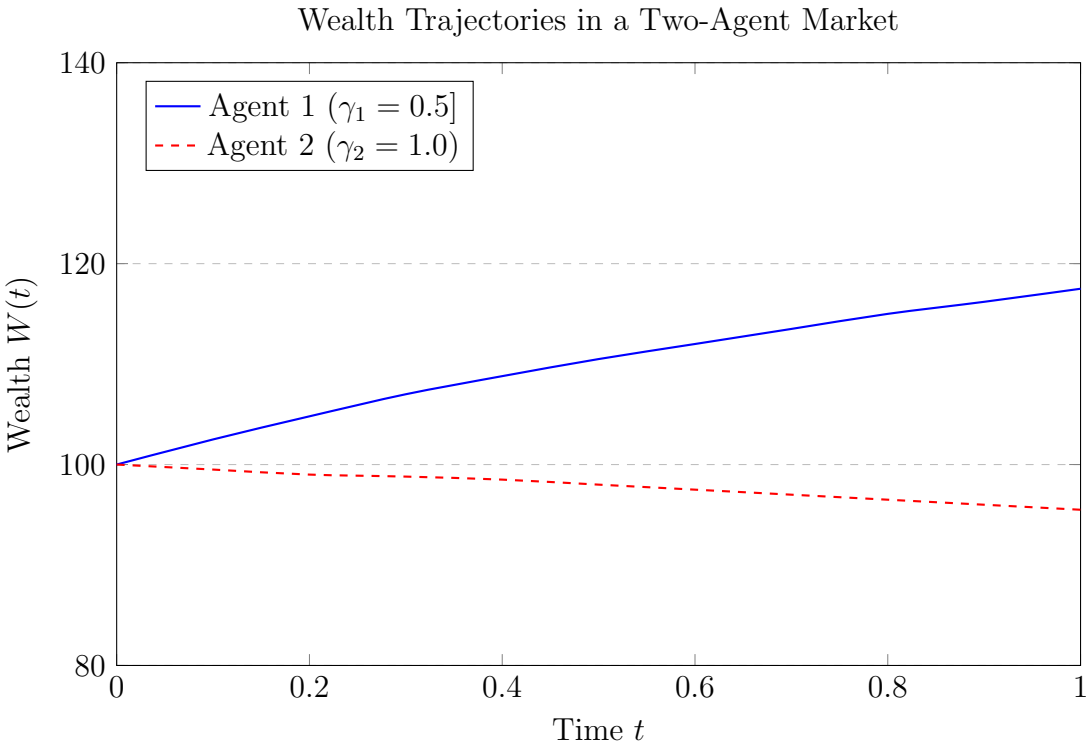


Figure 1: Simulated wealth trajectories for two agents in a competitive market. Agent 1 (blue, solid line) has lower risk aversion ($\gamma_1 = 0.5$) and achieves higher wealth growth, while Agent 2 (red, dashed line) has higher risk aversion ($\gamma_2 = 1.0$) and experiences slower wealth growth.

6 Conclusion and Future Work

In this paper, we have developed a **dynamic game-theoretic framework** for modeling strategic interactions in continuous-time financial markets. Our contributions include:

- A mathematical model of financial markets as **continuous-time games** with stochastic price dynamics.
- Derivation of **Nash equilibrium** conditions using **HJB equations** for agents with exponential utility functions.
- Applications to **oligopolistic markets** and **derivatives pricing**.
- Numerical simulations illustrating the wealth trajectories, asset price dynamics, and portfolio allocations of agents in equilibrium.

Our framework provides a **unified approach** to understanding the strategic behavior of rational agents in financial markets. It captures the **competitive interactions** between agents and offers insights into the **dynamics of wealth accumulation** and **price formation**.

Future research directions include:

- Extending the framework to **incomplete markets**, where agents have different information sets.

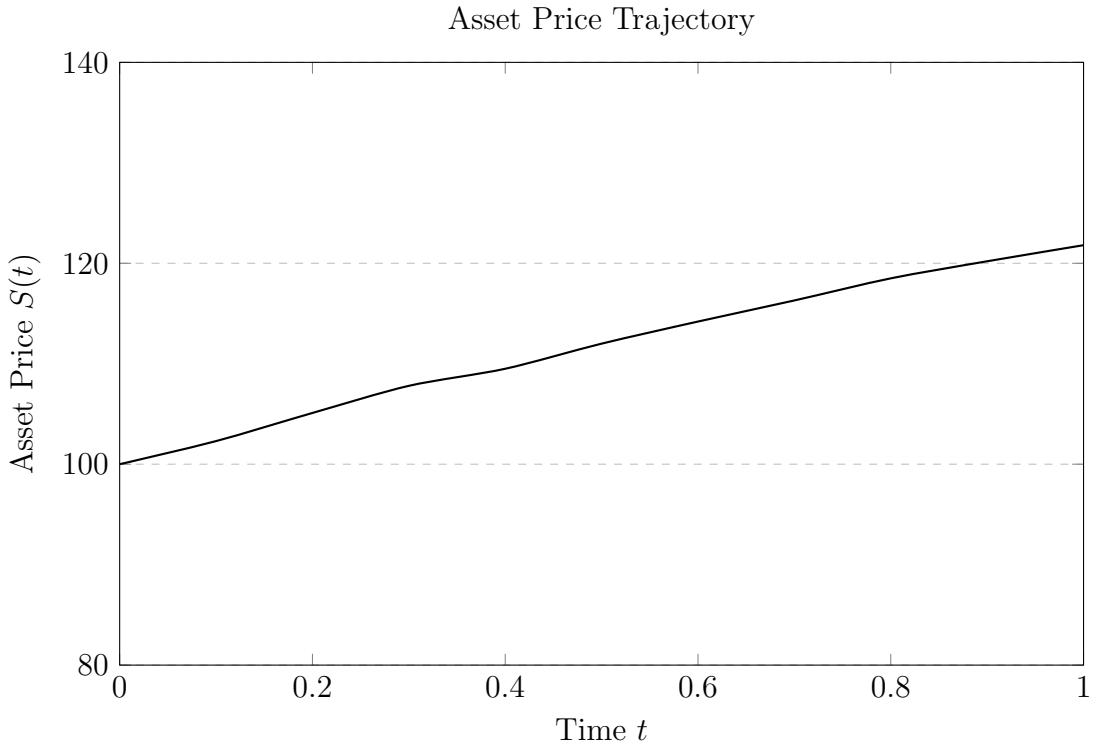


Figure 2: Simulated asset price trajectory for the risky asset in the two-agent market. The price follows a geometric Brownian motion with drift $\mu = 0.10$ and volatility $\sigma = 0.20$.

- Incorporating **transaction costs** and **liquidity constraints** into the model.
- Applying the framework to **high-frequency trading** and **algorithmic trading** strategies.
- Studying the **stability** and **robustness** of equilibrium strategies under **model uncertainty**.

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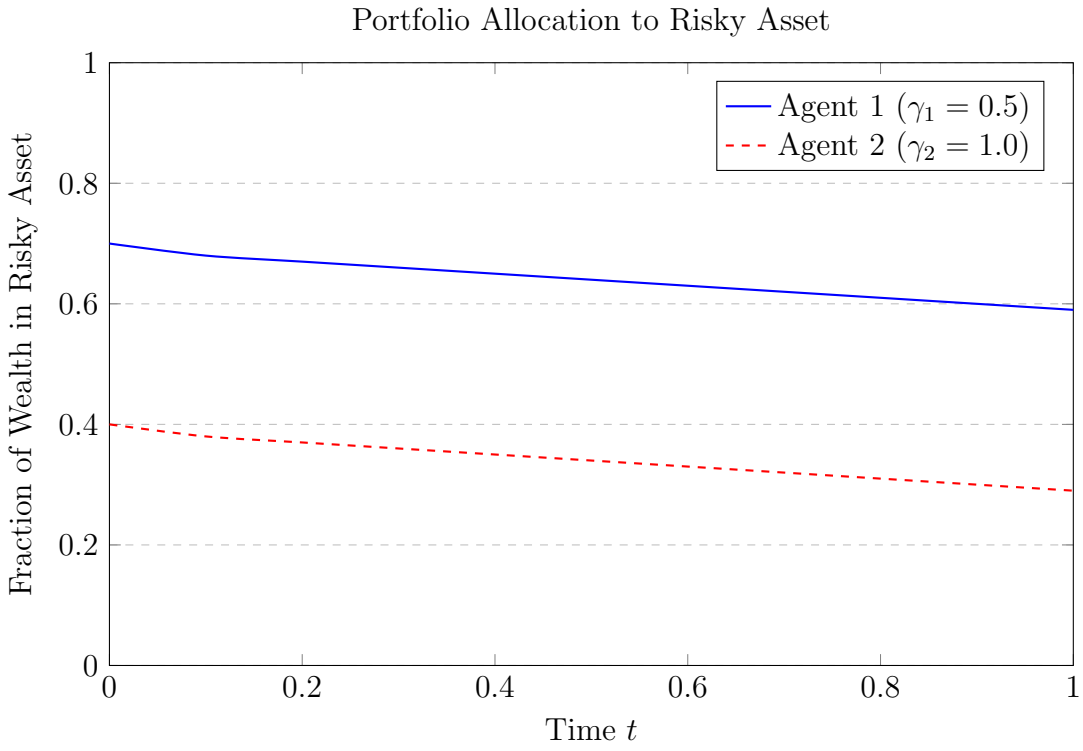


Figure 3: Portfolio allocation to the risky asset for the two agents. Agent 1 (blue, solid line) allocates a larger fraction of their wealth to the risky asset, reflecting lower risk aversion. Agent 2 (red, dashed line) allocates a smaller fraction, reflecting higher risk aversion.

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